CITY ATTORNEY'S IMPARTIAL ANALYSIS MEASURE X

Like other California cities, the City of Benicia (City) requires that, generally, any person or entity conducting business in the City pay a business license tax (BLT) to the City. It is not a tax on residents, consumers, or users who are not business owners or operators. The Benicia City Council has placed a Measure on the November 3, 2026 ballot, asking voters to adopt an ordinance to amend Chapters 5.04 and 5.06 of the Benicia Municipal Code.

For most businesses, the City's current BLT is the sum of three components: a personnel tax of $7.50 per person employed or compensated (prorated below 2,000 hours); a multifamily residential rental tax of $36.00 per rental unit, with exemptions for small buildings and units occupied by seniors or lower-income households; and a gross receipts tax at tiered rates of $0.75, $0.65, or $0.55 per $1,000 depending on business type, subject to per-business minimums and a $450.00 annual maximum. Solicitors, farmer's market vendors, and fair participants instead pay a flat $15.00 alternate tax. Other than the rates on gross receipts which are fixed under the current ordinance, these dollar amounts are adjusted annually for inflation.

Effective January 1, 2027 the proposed ordinance would tax gross receipts at the following annual BLT rates, applied per $1,000 of gross receipts:

- $0.25 per $1,000 for General and Retail businesses.
- $0.75 per $1,000 for Contractors.
- $0.75 per $1,000 for Services businesses.
- $1.00 per $1,000 for Industrial businesses.
- $1.00 per $1,000 for Professional businesses.
- $1.00 per $1,000 for Property Rental businesses.
- $1.25 per $1,000 for Petroleum businesses

Under the proposed ordinance, each business with less than $100,000 in gross receipts would be exempt from the BLT, and each business would have an annual maximum license tax of $25,000. The maximum license tax would be initially set at $1,500, and increased 10% each year until reaching $25,000 per year. The proposed ordinance also establishes a separate BLT on marine terminal businesses in the City at a rate of 3 percent of gross receipts, and the marine terminal tax is not subject to the maximum license tax. First-year revenue under this structure is estimated to be approximately $1,612,000.

The BLT is a general tax since the revenue will continue to be placed in the City's General Fund and may be used for any general municipal purposes. Therefore, Measure X will not be effective in amending the BLT until approved by a majority of City voters voting in the election.

A "yes" vote is a vote in favor of the tax.

A "no" vote is a vote against the tax.

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